

VETERAN ECONOMIST MONTEK SINGH AHLUWALIA has played a crucial role in shaping the modern Indian economy and was a key part of the government's liberalisation efforts from 1991.

In an interview to *Business Today*, he spoke about the Indian economy and the West Asia crisis. He says the current account deficit (CAD) will be higher and GDP growth will be lower than current official forecasts and inflation will also be higher. But he warns that the balance of payments problem cannot be solved simply by cutting imports and relying on import substitution. "That can raise costs and make exports uncompetitive," says Ahluwalia. He adds that having a large trade deficit with China should not lead India to adopt a closed-door attitude. Edited Excerpts:

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Does the West Asia crisis pose significant challenges to the economic outlook?

Yes, it does, for the whole world. Various international agencies have lowered growth estimates for all major groups of countries and India's growth prospects have also been scaled down.

The extent of the damage remains subject to considerable uncertainty. It now looks like the US

and Iran have come to an agreement and the Strait of Hormuz may be open soon. That is good news for everybody. Oil prices have already fallen below \$90 per barrel. However, even if the Strait is effectively opened over the next two weeks, it will take time for supplies to normalise. Some supply sources have been damaged, and strategic oil reserves have been run down sharply. Most countries will want to rebuild these and perhaps even

flows. These flows are unlikely to recover quickly. This means the rupee will remain under pressure.

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Is the sharp fall in the rupee a concern?

It hurts importers and those planning foreign holidays or paying for foreign education. But it also encourages exports. It is part of the process of bringing the balance of payments under control.

One reason why the depreciation has been

They are similar to the measures taken in 2013 which did stimulate some short-term flows. However, it is difficult to say how effective the current measures will be because there is much more global uncertainty. The AI frenzy is also a new phenomenon pulling large sums of money into the US.

If the measures raise around \$50 billion, we will still need to find another \$20 billion to cover the estimated CAD. Our forex

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increase them.

If oil prices average around \$85 per barrel in 2026-27, this is about 25% higher than last year. Our import bill will be correspondingly higher, and the CAD could rise to about 2% of GDP for FY27 compared with only 0.6% in FY26.

Financing this will require net capital inflows of around \$70 billion. But, net capital flows were negligible in FY26 because of a sharp decline in both net FDI and net portfolio

sharp is that the rupee was held too stable for too long before that. There are good reasons for wanting to stabilise the real effective exchange rate, but the rupee remained stable in nominal terms for too long. That meant it had appreciated in real terms, and the recent depreciation has corrected for this.

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Will the measures of the RBI and finance ministry boost foreign capital inflows?

reserves provide a sufficient cushion to deal with this provided we could be sure that the problem will disappear next year. If the CAD next year does not contract to the level that can be financed by sustainable long-term flows, it will be necessary to take steps to contract it.

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What can we do to reduce the CAD?

The classic response is to lower aggregate domestic demand. Passing on the